

Notes: Maggi and Rodríguez-Clare (JPE, 1998)
The Value of Trade Agreements in the Presence of Political Pressures

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1 Big Picture

This note summarizes Maggi and Rodríguez-Clare (JPE, 1998), which develops a small-country political-economy model to explain why a government may voluntarily enter a free-trade agreement even when the agreement does not solve a terms-of-trade externality. The paper's core insight is that political lobbying may distort long-run resource allocation, while the government is compensated only for the short-run price distortion through contributions. A trade agreement can therefore be valuable as a commitment device that helps the government credibly shut down domestic lobbying pressure.

1.1 Research question

The paper asks a precise question: can the presence of domestic special-interest groups itself create a government demand for an international trade agreement?

This is different from the classical terms-of-trade rationale for trade agreements. In that story, governments negotiate because each country imposes a tariff externality on trading partners. Here, the country is small and cannot affect world prices, so the question is domestic: does the government want an external commitment device to discipline its own future interaction with lobbies?

1.2 One-sentence summary

Trade agreements can be valuable because they let a government commit not to protect politically organized sectors, thereby preventing inefficient long-run investment, bad self-fulfilling equilibria, and slow exit from declining sectors.

1.3 Core takeaway

The key distinction is between two distortions:

- **Short-run price distortion:** protection raises the domestic price of the organized sector and creates a consumption distortion.
- **Long-run allocation distortion:** because capital owners anticipate future protection, capital moves into sectors that are politically powerful rather than socially efficient.

In the political bargaining stage, the lobby can compensate the government for the short-run welfare cost of protection. But investors' earlier capital-allocation response is already sunk. The government is not necessarily compensated for this long-run resource misallocation. This wedge creates the possible value of commitment to free trade.

2 Incremental Contribution of the Paper

2.1 Contribution relative to the terms-of-trade literature

The classical explanation for trade agreements is that countries use agreements to escape a tariff prisoners' dilemma generated by terms-of-trade manipulation. That logic is important for large countries, but it does not explain why small countries join free-trade agreements or why agreements often restrict export subsidies rather than encouraging them.

Maggi and Rodríguez-Clare (JPE, 1998) provides a different explanation. Even a small country may want a trade agreement because it helps the government commit against future domestic protection. The agreement is not primarily solving a foreign-policy externality; it is solving a domestic political-commitment problem.

2.2 Contribution relative to political-economy models of protection

In models such as Grossman and Helpman's "protection for sale," the government generally does not regret lobbying because it receives political contributions in exchange for protection. The government can be at least as well off in the lobbying equilibrium as under free trade.

Maggi and Rodríguez-Clare modify this logic by adding a long-run investment stage. Capital is sector-specific in the short run but mobile in the long run. Once investors anticipate protection, the organized sector becomes too large. This is the central innovation: the political process affects not only prices but also the long-run structure of the economy.

2.3 Contribution relative to time-inconsistency explanations

Earlier time-inconsistency arguments emphasized economic commitment problems, such as incentives to alter policy after private investment has occurred. This paper highlights a political time-inconsistency problem: the government may want to commit today because tomorrow it will bargain with lobbies and grant protection that distorts investment incentives today.

2.4 Why the paper matters

The paper gives a theory for why governments sometimes use external institutions to constrain their own discretion. It provides a political-economy foundation for the idea that international agreements may help governments "tie their hands" against domestic pressure groups.

3 Model Environment

3.1 Economic structure

The economy is a small country with two sectors:

- Numeraire sector N ;

- **Manufacturing sector M .**

There are two factors of production:

- land, evenly spread across the population;
- capital, owned by a negligible fraction of agents.

Total capital is fixed at K . Let x denote capital allocated to manufacturing, so

$$K_M = x, \quad K_N = K - x.$$

The country is small, so the world relative price of manufacturing is fixed at p^* . The government can choose the domestic price p through trade taxes or subsidies. If $p > p^*$, the government is protecting manufacturing: the policy is an import tariff if M is imported and an export subsidy if M is exported.

3.2 Technology

Manufacturing uses only capital:

$$Q_M = K_M = x.$$

The numeraire sector uses capital and land:

$$Q_N = F(K_N, T) = F(K - x, T),$$

with constant returns to scale and diminishing returns to capital in sector N .

The return to capital in the numeraire sector is

$$\pi_N(x) \equiv F_K(K - x, T),$$

where $\pi'_N(x) > 0$ because increasing x reduces capital in sector N , raising its marginal product there.

The return to capital in manufacturing is simply the domestic price:

$$\pi_M = p.$$

3.3 Preferences and demand

Consumers have quasi-linear utility:

$$q_N + u(q_M),$$

with

$$u(q_M) = vq_M - \frac{q_M^2}{2}.$$

Demand for the manufacturing good is

$$d(p) = v - p.$$

This linear specification is used for tractability. It allows the paper to express the government's payoff and the lobby's incentives in a simple closed form.

3.4 Social welfare

Let $r(p, x)$ denote government revenue from trade policy:

$$r(p, x) = (p - p^*)[d(p) - x].$$

Let $s(p)$ be consumer surplus. Social welfare is

$$w(p, x) = z(x)T + \pi_N(x)(K - x) + px + r(p, x) + s(p).$$

Under free trade, $p = p^*$, so trade-policy revenue is zero and the allocation of capital is efficient.

4 Political Structure

4.1 Lobby formation

Only the manufacturing sector can organize as a lobby. Capital owners in the manufacturing sector make contributions to the government in exchange for protection. Owners of capital in the numeraire sector and landowners do not organize.

If the contribution per unit of manufacturing capital is c , total contributions are

$$cx.$$

The manufacturing lobby maximizes net returns:

$$(p - c)x.$$

4.2 Government objective

The government values social welfare and political contributions:

$$\Omega = w(p, x) + acx.$$

Here $a \geq 0$ measures the government's responsiveness to contributions relative to social welfare. If $a = 0$, the government is purely welfare-maximizing and chooses free trade. If $a > 0$, the government may grant protection in exchange for contributions.

4.3 Timing

The game has two main stages:

1. **Investment stage:** capital owners choose sectors. This determines x .
2. **Political bargaining stage:** the manufacturing lobby and the government bargain over the domestic price p and contribution rate c .

This timing captures the absence of government commitment. Investors move first, anticipating future lobbying and protection. Once investment is sunk, the government bargains with the lobby.

4.4 Bargaining power

The government and lobby bargain using a Nash bargaining structure. Let σ be the government's bargaining power and $1 - \sigma$ be the lobby's bargaining power.

The threat point is free trade with zero contributions. If bargaining fails, the government sets $p = p^*$ and receives no contribution.

This parameter is central to the paper. A high σ means the government can extract more rent from the lobby. A low σ means the lobby captures most of the gains from protection.

5 Benchmark: Free-Trade Allocation

Under free trade, $p = p^*$. Capital moves until the return to capital is equalized across sectors:

$$\pi_N(x^*) = p^*.$$

Thus, x^* denotes the efficient free-trade level of capital in manufacturing. The paper assumes an interior allocation:

$$\pi_N(0) < p^* < \pi_N(K).$$

This guarantees that some, but not all, capital is allocated to manufacturing under free trade.

6 Political Equilibrium: The Basic Overinvestment Mechanism

6.1 Short-run bargaining outcome

Given the allocation x , the government and lobby choose p to maximize joint surplus:

$$w(p, x) + apx.$$

The political equilibrium domestic price is

$$\tilde{p}(x) = p^* + ax.$$

This is the short-run political price schedule. Protection is increasing in the size of the manufacturing sector. A larger sector makes protection more valuable to the lobby, which increases the joint surplus from protection.

6.2 Equilibrium contribution schedule

The contribution per unit of manufacturing capital is

$$\tilde{c}(x) = \frac{1 + \sigma}{2} ax.$$

The higher the government's bargaining power σ , the more the government extracts from the lobby.

6.3 Equal-return condition

Investors choose sectors in the first stage. Given expected future protection and contributions, the return to capital in manufacturing net of contributions is

$$\tilde{p}(x) - \tilde{c}(x).$$

The equal-return domestic price $p^0(x)$ is defined by

$$p - \tilde{c}(x) = \pi_N(x).$$

Substituting the contribution schedule yields

$$p^0(x) = \pi_N(x) + \frac{1 + \sigma}{2} ax.$$

Capital allocation in equilibrium is where the political price schedule equals the equal-return schedule:

$$\tilde{p}(x) = p^0(x).$$

6.4 Result: overinvestment in the organized sector

The equilibrium allocation $\hat{x}$ is larger than the free-trade allocation x^* when $\sigma < 1$:

$$\hat{x} > x^*.$$

Intuition: At $x = x^*$, returns would be equal under free trade. But a small amount of protection creates a first-order gain to the lobby and only a second-order consumption distortion. Therefore, the lobby can profitably buy protection. Anticipating this, capitalists find manufacturing more attractive and move capital into M .

6.5 Role of government bargaining power

The overinvestment distortion is decreasing in σ .

If $\sigma = 1$, the government extracts all surplus from the lobby. Contributions are so high that net returns in manufacturing do not increase relative to free trade. In this case,

$$\hat{x} = x^*.$$

If $\sigma < 1$, the lobby keeps some surplus, so manufacturing becomes privately attractive and overinvestment occurs.

7 The Value of Commitment to Free Trade

7.1 Government payoff without commitment

In the political equilibrium, the government payoff is

$$\Omega = w(p^*, \hat{x}) + \frac{\sigma a^2 \hat{x}^2}{2}.$$

The first term is the welfare level evaluated at the free-trade price but with the distorted allocation $\hat{x}$. The second term is the rent the government extracts from lobbying.

7.2 Government payoff with commitment

If the government commits to free trade before investment occurs, investors choose the efficient allocation x^* and no lobbying occurs. The government's payoff is

$$\Omega^c = w(p^*, x^*).$$

7.3 Main trade-off

The government compares

$$\Omega^c = w(p^*, x^*)$$

with

$$\Omega = w(p^*, \hat{x}) + \frac{\sigma a^2 \hat{x}^2}{2}.$$

The government benefits from commitment because commitment prevents resource misallocation. The government loses from commitment because it forgoes political contributions.

7.4 Proposition 2: commitment is valuable when government bargaining power is low

There exists a cutoff $\bar{\sigma}$ such that the government prefers commitment to free trade if and only if

$$\sigma < \bar{\sigma}.$$

Interpretation:

- If σ is low, the government extracts little rent from the lobby, but still suffers from long-run misallocation. Commitment is valuable.
- If σ is high, the government extracts large political rents and resource misallocation is smaller. Commitment is not valuable.

This creates the paper's central paradox: countries where lobbies are more powerful relative to the government may have a stronger incentive to join a free-trade agreement.

7.5 Proposition 3: nonmonotonicity in political responsiveness

Let a measure the government's responsiveness to contributions. The value of commitment is nonmonotonic in a when σ is low.

- If a is close to zero, lobbying has little effect, protection is small, and the value of commitment is low.
- If a is intermediate, lobbying meaningfully distorts investment, while political rents remain limited. Commitment is valuable.
- If a is very high, the government places so much weight on contributions that it does not want to give them up. Commitment becomes unattractive.

Thus, governments are most likely to value trade agreements when they care significantly about both social welfare and contributions.

8 Multiple Equilibria Mechanism

8.1 Motivation

Section III studies overinvestment in a sector that is active under free trade. Section IV studies a more subtle case: an inefficient industry that would not produce under free trade but could become politically powerful if enough capital moved into it.

This case captures a self-fulfilling political-economy mechanism. If investors expect protection, they invest in the inefficient sector. Once the sector is large enough, it can lobby effectively and receive protection. The expectation of protection becomes self-confirming.

8.2 Modified economic structure

The numeraire sector now has linear technology:

$$F(T, K_N) = T + K_N.$$

The return to capital in the numeraire sector is constant:

$$\pi_N(x) = 1.$$

The politically organized manufacturing sector is inefficient under free trade:

$$p^* < 1.$$

Thus, in the absence of political pressure, all capital should go to the numeraire sector:

$$x = 0.$$

8.3 Condition for multiple equilibria

Multiple equilibria arise when politics is strong enough relative to economic comparative advantage:

$$0 < \frac{1 - p^*}{a} \leq \frac{1 - \sigma}{2} K.$$

The ratio $(1 - p^*)/a$ measures the strength of comparative disadvantage relative to political pressure.

- If comparative disadvantage is very strong, the inefficient sector cannot attract capital.
- If political pressure is strong enough, investors may coordinate on a bad equilibrium with capital in the wrong sector.

8.4 Proposition 4: multiple equilibria

If

$$0 < \frac{1 - p^*}{a} \leq \frac{1 - \sigma}{2} K,$$

then the economy admits three equilibria:

$$x = 0, \quad x = \hat{x}, \quad x = K.$$

The $x = 0$ equilibrium is efficient. The $x = K$ equilibrium is inefficient because all capital is invested in the politically protected sector despite its comparative disadvantage.

8.5 Proposition 5: trade agreements eliminate the bad equilibrium

Commitment to free trade is valuable when the government wants to eliminate the possibility of the bad equilibrium. The relevant condition is

$$1 - p^* > \frac{\sigma a^2 K}{2},$$

combined with the multiple-equilibrium condition above.

Interpretation:

- If the inefficient sector's disadvantage is tiny, the efficiency cost of the bad equilibrium is small, so the government may tolerate lobbying.
- If the disadvantage is intermediate, the bad equilibrium is costly and commitment is valuable.
- If the disadvantage is very large, the bad equilibrium does not arise, so commitment has no value.

9 Declining Sectors Mechanism

9.1 Question

Section V examines a declining industry hit by an adverse shock. The question is whether expected political protection can slow the efficient movement of capital out of the declining sector.

9.2 Capital mobility with adjustment costs

Capital can move between sectors, but reallocation is costly. Investors choose an exit intensity γ . A higher γ means faster reallocation, but it costs

$$\frac{\gamma^2}{2}$$

units of the numeraire good.

The law of motion for capital in manufacturing is

$$\dot{x} = (K - x)\gamma_N(x) - x\gamma_M(x).$$

9.3 Why politics slows exit

Capitalists in the declining sector choose how quickly to exit. Their incentive to exit depends on the capital gain from moving to the numeraire sector. Protection raises the current and expected future payoff from remaining in manufacturing. This lowers the capital gain from exit and therefore reduces the optimal exit intensity.

As a result, political protection slows down adjustment:

$$\text{political exit speed} < \text{free-trade exit speed}.$$

9.4 Why the government may want commitment

Under free trade, the exit rate is socially optimal. Under political protection, exit is inefficiently slow. The government is not fully compensated for this dynamic distortion unless its bargaining power is high.

Thus:

- If σ is low, the government gets little rent and faces inefficiently slow adjustment, so it prefers commitment.
- If σ is high, the government extracts substantial political rents and the distortion in exit speed is smaller, so it does not commit.

This mechanism connects trade agreements to structural adjustment. A free-trade agreement can accelerate exit from declining protected industries.

10 Extracted Figures and Visual Interpretation

10.1 Figure 1: Overinvestment in the Politically Organized Sector

10.2 Figure 2: Protection under the Option to Commit

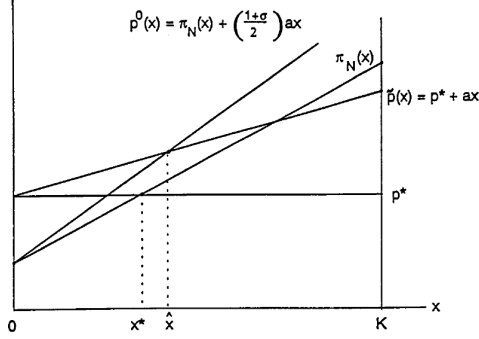


Figure 1: Overinvestment in manufacturing.

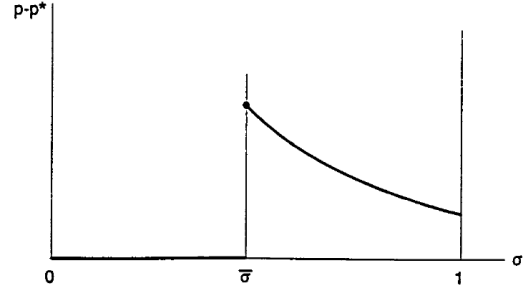


Figure 2: Protection and government bargaining power.

Read Figure 1:

- The horizontal line p^* is the world price.
- The upward-sloping $\pi_N(x)$ curve gives the marginal return to capital in the numeraire sector.
- The free-trade allocation x^* equalizes $\pi_N(x)$ and p^* .
- The political price schedule $\tilde{p}(x) = p^* + ax$ rises with the size of the organized sector.
- The equal-return curve $p^0(x)$ incorporates the contribution cost paid by the lobby.
- The political equilibrium allocation $\hat{x}$ lies to the right of x^* , showing overinvestment in manufacturing.

Economic message of Figure 1: protection is not merely a short-run price wedge. Because investors anticipate protection, it changes the long-run sectoral allocation of capital. The organized sector becomes inefficiently large.

Read Figure 2:

- The horizontal axis is government bargaining power σ .
- For low σ , the government commits to free trade, so protection is zero.
- Once σ passes the cutoff $\bar{\sigma}$, the government no longer commits.
- After that point, protection decreases as σ rises because a stronger government extracts more from the lobby and reduces the organized sector's net attractiveness.

Economic message of Figure 2: protection is nonmonotonic in government strength. Very weak governments commit to free trade; very strong governments can extract contributions without inducing as much overinvestment; intermediate cases generate the most protection.

10.3 Figure 3: Multiple Equilibria in an Inefficient Organized Sector

10.4 Figure 4: Parameter Region Where Commitment Is Valuable

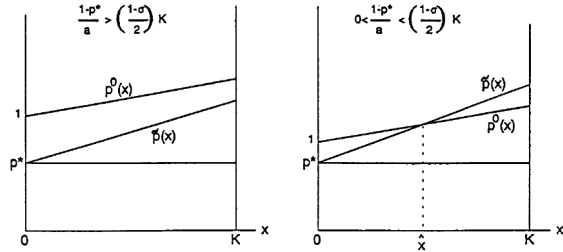


Figure 3: Unique versus multiple equilibria.

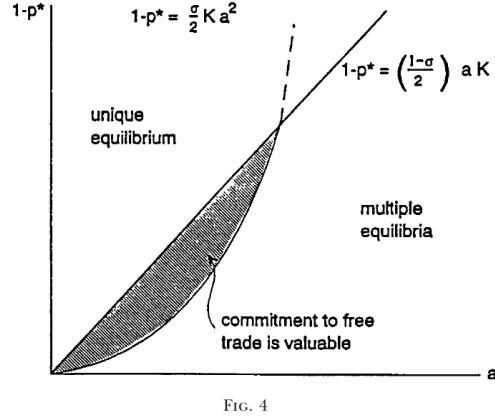


FIG. 4

Figure 4: When commitment to free trade is valuable.

Read Figure 3:

- The left panel shows a case in which comparative disadvantage is strong relative to political pressure. The political price schedule does not cross the equal-return schedule in the interior, and the efficient equilibrium $x = 0$ is unique.
- The right panel shows a case in which political pressure is strong enough. The schedules cross, creating multiple equilibria.
- One equilibrium has no capital in the inefficient sector, while another has capital invested in that sector because investors expect protection.

Economic message of Figure 3: lobbying can create self-fulfilling industrial structure. A sector that should not exist under free trade can exist because investors expect it to be politically protected.

Read Figure 4:

- The vertical axis measures the politically organized sector's comparative disadvantage, $1 - p^*$.
- The horizontal axis measures the importance of political contributions, a .
- The shaded region is where commitment to free trade is valuable.
- If politics is too weak, the bad equilibrium does not arise.
- If politics is strong but the sector's disadvantage is too low, the bad equilibrium is not very costly.
- If comparative disadvantage is too high, the bad equilibrium disappears.

Economic message of Figure 4: commitment is most valuable in intermediate cases: political pressure is strong enough to create a bad equilibrium, and the efficiency loss from that equilibrium

is large enough to matter.

11 Mechanism Map

11.1 Mechanism 1: overinvestment

A politically organized sector receives future protection. Anticipating protection, capital moves into that sector. The sector becomes inefficiently large. A trade agreement prevents this by making future protection unavailable.

11.2 Mechanism 2: bad equilibrium selection

An inefficient sector may become active only if investors expect protection. Once enough capital enters, the sector can lobby effectively and receive protection. A trade agreement eliminates the bad self-fulfilling equilibrium.

11.3 Mechanism 3: slow exit from declining sectors

A declining sector expects continued protection. This lowers the private return to leaving the sector. Capital exits too slowly. A trade agreement restores stronger incentives to reallocate capital efficiently.

12 Interpretation of Key Parameters

12.1 Government bargaining power σ

σ determines how much of the political surplus the government extracts from the lobby. It has two effects:

- A higher σ increases the government's political rents.
- A higher σ reduces the lobby's net return from protection and therefore reduces overinvestment.

Both effects make commitment to free trade less attractive. Thus, low- σ governments have stronger incentives to join trade agreements.

12.2 Government responsiveness to contributions a

a measures how much the government values political contributions. Its effect is nonmonotonic:

- Low a : little protection, little misallocation, low value of commitment.
- Intermediate a : meaningful misallocation but not too much political rent, high value of commitment.

- High a : the government values contributions too much to commit to free trade.

12.3 World price p^* and comparative advantage

In the multiple-equilibrium section, $1-p^*$ measures the comparative disadvantage of manufacturing. Commitment is valuable only for intermediate disadvantage. If the disadvantage is small, the bad equilibrium is not very costly; if the disadvantage is large, the bad equilibrium cannot arise.

13 Relation to the Broader Literature

13.1 Relation to Bagwell and Staiger

Bagwell and Staiger emphasize that trade agreements internalize terms-of-trade externalities. Maggi and Rodríguez-Clare show that even absent such externalities, trade agreements may have value because they provide domestic political commitment.

13.2 Relation to Grossman and Helpman

Grossman and Helpman model protection as a bargain between governments and lobbies. Maggi and Rodríguez-Clare preserve this political bargaining logic but embed it in a dynamic investment environment. Once investment responds to anticipated protection, the government may regret the political equilibrium.

13.3 Relation to time-inconsistency models

Staiger and Tabellini and Tornell emphasize economic time inconsistency. This paper emphasizes political time inconsistency: the government cannot credibly promise that it will not bargain with lobbies tomorrow, so investors distort their choices today.

14 Implications

14.1 Why small countries may join trade agreements

A small country has no terms-of-trade motive for a trade agreement. The model explains why it may still join: the agreement helps it commit against future domestic protection.

14.2 Why politically weak governments may want strong external rules

The model predicts that governments with weaker bargaining power relative to lobbies may be more likely to value trade agreements. Such governments cannot extract enough political rent to compensate themselves for the long-run allocation distortions created by lobbying.

14.3 Why exceptions and safeguards matter

The model suggests that governments may want exceptions for sectors where political rents are large relative to allocation distortions. This provides a way to interpret why textiles, agriculture, and other politically organized sectors often receive special treatment in trade agreements.

15 Limitations and Extensions

15.1 Only one lobby

The model assumes a single manufacturing lobby. In a multi-lobby environment, political competition among lobbies could increase government rents and reduce the incentive to commit. The basic logic remains: the desirability of commitment depends on whether resource misallocation is large relative to political rents.

15.2 No ex ante lobbying against the agreement

The baseline model assumes the manufacturing lobby starts operating after investment is sunk. If the lobby could also lobby at the time the trade agreement is signed, it might pay the government not to commit. This would shrink the parameter region where commitment is valuable.

However, the authors argue that ex ante lobbying may still be limited because capital can reallocate in the long run, future industries may not yet exist, and lobbies may be liquidity constrained.

15.3 Small-country assumption

The model abstracts from terms-of-trade motives. In a large-country model, the government would also value the ability to manipulate world prices. The trade-off would be more complex because joining a trade agreement would involve both domestic commitment benefits and lost terms-of-trade policy power.

15.4 Zero-tariff agreement

The paper focuses on commitment to free trade. If the government could instead choose an arbitrary tariff binding, the optimal commitment might involve positive but constrained tariffs, especially when the government can extract rents from the lobby.

16 Short Summary

Maggi and Rodríguez-Clare (JPE, 1998) provides a domestic political-economy rationale for trade agreements. In the model, lobbies can buy protection after capital has been allocated. Investors anticipate this and move capital into sectors that are politically organized, not necessarily sectors where capital is socially productive. The government may therefore prefer to sign a free-trade

agreement before lobbying begins. Such an agreement eliminates inefficient overinvestment, bad self-fulfilling equilibria, and slow exit from declining sectors. The value of commitment is strongest when the government has low bargaining power relative to lobbies and when political pressure is strong enough to distort allocation but not so strong that the government is willing to sacrifice welfare entirely for contributions.

17 Conclusion

The paper's central insight is that political protection has a dynamic cost. The cost is not only the usual consumption distortion from tariffs. Protection changes expectations, and expectations shape investment. Once capital enters a protected sector, future lobbying becomes more powerful, and the government may be trapped in a political equilibrium that it would have preferred to avoid.

Trade agreements can solve this problem by acting as an external commitment device. The agreement gives the government a credible reason to refuse lobby demands. This explains why even a small country, with no terms-of-trade motive, may value joining an international trade agreement.

The paper is therefore useful for thinking about trade agreements not merely as bargains between countries, but as institutions that restructure domestic political bargaining. In this sense, international trade law can serve a domestic constitutional role: it limits the government's future ability to respond to politically organized interests.